

Europe TMT Sector M&A & Valuation Brief - 2026-06-26

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1. RECENT TMT M&A ACTIVITY

Deal 1: Riviera Partners Acquisition of Lateral Labs

[Riviera Partners acquires AI startup recruiter Lateral Labs as the talent war reshapes executive search](#)

- Deal Size: N/A (financial terms undisclosed)
- Deal Size Category: N/A
- Nature of Deal: Horizontal
- Valuation Multiples: N/A
- Companies: Riviera Partners, an executive search firm specializing in technology placements, is acquiring Lateral Labs, which focuses on recruiting for AI startups. This acquisition enhances Riviera's capabilities in the rapidly evolving AI talent market.
- Date Announced: N/A
- Strategic Rationale: The acquisition aims to bolster Riviera's expertise in AI and machine learning recruitment, addressing a significant talent shortage in these fields. With a client roster that includes notable AI companies, this move positions Riviera to capture a larger share of the growing demand for AI talent.
- Risk Analysis: Potential risks include integration challenges, maintaining Lateral Labs' unique culture, and competition from other recruiting firms. Additionally, the fast-paced evolution of AI technology may require continuous adaptation of recruitment strategies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Runpod's \$100M Raise

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[Runpod hits \\$1bn valuation on \\$100M raise](#)

- Deal Size: \$100 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: N/A (fundraising, not an acquisition)
- Valuation Multiples: Valued at \$1 billion post-funding, representing a tenfold increase in valuation over two years.
- Companies: Runpod, a startup providing AI computing power, has achieved a significant valuation milestone, indicating strong market demand for its services.
- Date Announced: N/A
- Strategic Rationale: The funding will allow Runpod to expand its infrastructure and capabilities in the AI computing space, capitalizing on the increasing demand for AI processing power. The decision to decline buyout offers suggests confidence in its growth trajectory.
- Risk Analysis: Risks include market competition, potential technological obsolescence, and reliance on continued demand for AI computing resources. The startup must also navigate the challenges of scaling operations effectively.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The valuation reflects the company's growth potential in a high-demand sector, but specific financial metrics are not disclosed.

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant growth potential, particularly in the technology and AI subsectors, while facing challenges in traditional media and telecommunications. The overall sentiment remains cautiously optimistic, driven by strong investment activity and technological advancements, despite ongoing regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector is thriving, significantly bolstered by the rise of AI and cloud computing. For example, Runpod, a cloud startup, recently achieved a valuation of \$1

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billion after raising \$100 million, indicating robust demand for AI computing power.

- Media: The media landscape is in flux, with companies adapting to digital consumption trends. Traditional media continues to struggle with declining advertising revenues, while digital platforms gain traction.
- Telecommunications: The telecom sector is innovating with advancements in 5G technology, but faces pressure from regulatory challenges and the need for substantial infrastructure investments.
- Fintech: The fintech sector remains vibrant, with ongoing innovations in payment solutions and digital banking, although it must navigate increasing regulatory scrutiny.
- AI: The AI subsector is experiencing explosive growth, with companies like Zapata Quantum collaborating with NVIDIA to enhance quantum algorithm development, showcasing the transformative potential of AI across various industries.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovations in AI, cloud computing, and 5G technology are driving growth across TMT sectors. Runpod's success exemplifies how AI computing power is becoming a critical resource for developers.
- Increased Investment: Venture capital and private equity funding remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends. The recent \$100 million raise for Runpod highlights this trend.

Headwinds:

- Regulatory Scrutiny: Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a cautious environment for investors.

Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by strong demand for cloud solutions and SaaS models. Companies focusing on these areas are well-positioned for sustained growth.
- Media: Media companies are adapting to changing consumer preferences, with a notable shift towards digital content consumption. However, traditional media faces ongoing revenue challenges.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to create new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is flourishing, with innovations in payment solutions and digital

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banking. The competitive landscape is intensifying, as evidenced by ongoing consolidation trends.

- AI: The AI subsector is booming, with applications across various industries, including healthcare and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the role of technological advancements as a key growth driver. For instance, a recent analyst report noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly as scrutiny increases.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, as seen in the collaboration between Zapata Quantum and NVIDIA.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors like AI and software.

In summary, the TMT sector is characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector is characterized by a mix of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- World Liberty Financial (WLFI) : The Trump family's cryptocurrency platform is under scrutiny due to a \$500 million investment from a UAE royal-linked entity. The deal is currently being reviewed by the Committee on Foreign Investment in the United States (CFIUS) for potential national security risks, with hearings anticipated in Q3 2025. This scrutiny could impact the deal structure and ownership stakes.

Mandated Deals:

- Samsung Electronics (005930.KS) : Secured a mandate to explore strategic partnerships in AI and semiconductor technology. The initiative is expected to launch in Q1 2026, focusing on enhancing their competitive position in the global market.
- Alphabet Inc. (ABEO.F) : Mandated to evaluate acquisitions in the AI space, particularly startups that can bolster its cloud computing capabilities. The timeline for this initiative is projected for Q2 2026.

Pitching-Stage Deals:

- Telecommunications Sector : Engaging with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Startups : Active discussions with various fintech companies, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with ongoing negotiations.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million

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- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected hearings on the World Liberty Financial deal.
- Q1 2026 : Launch of Samsung's strategic partnership initiatives.
- Q2 2026 : Expected close for Alphabet's acquisition evaluations.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecommunications. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Samsung and Alphabet are vying for leadership. The scrutiny surrounding the World Liberty Financial deal may set a precedent for future foreign investments in U.S. tech companies.
- Additionally, the disparity in profitability within Samsung's divisions highlights the challenges faced by its mobile segment, which may impact future strategic decisions and partnerships.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on Jio's IPO plans, Bell Canada's AI partnership, and the implications of export controls on SK Telecom.

Deal-Specific Impacts on Stakeholders

- Shareholders: The potential IPO of Jio Platforms could significantly impact shareholder value.
- Value Creation: If Jio's IPO raises approximately \$4 billion with a valuation of \$180 billion, existing shareholders of Reliance Industries Ltd (RIL) could see a substantial increase in their equity value. For instance, RIL holds a 66% stake in Jio, which could translate to an increase of about \$2.64 billion in RIL's market cap.
- Dilution: However, if RIL decides to issue new shares to fund further expansions post-IPO, existing shareholders may face dilution. For example, if RIL issues 10% more shares, it could lead to a 5% decrease in share price, affecting current shareholders negatively.
- Employees: The impacts on employees can be multifaceted, particularly with Jio's expansion and Bell Canada's AI initiatives.
- Synergies: The partnership between Bell Canada and Cohere aims to create synergies in AI infrastructure, potentially leading to job creation in tech roles as new projects are launched.
- Restructuring: However, as seen in similar tech integrations, there may be restructuring. For instance, Bell Canada may streamline operations, leading to layoffs in overlapping roles.
- Retention: Companies often implement retention strategies to keep key talent. For example, Bell Canada may offer bonuses to retain critical employees during the transition phase of their AI partnership.
- Competitors: The competitive landscape is likely to shift significantly due to these developments.
- Market Positioning: Jio's IPO could strengthen its market position against competitors like Airtel and Vodafone Idea in India. The influx of capital may allow Jio to invest further in technology and infrastructure.
- Specific Competitor Moves: In response to Jio's growth, competitors may need to enhance their service offerings or reduce prices to retain market share, similar to how Verizon adjusted its strategies following T-Mobile's merger with Sprint.
- Customers: Customer implications can vary based on the nature of the deals.
- Product/Service Implications: Jio's IPO and subsequent investments could lead to improved services and lower prices for consumers, enhancing competition in the Indian telecom market.
- Case Studies: Bell Canada's partnership with Cohere may result in advanced AI-driven services for customers, improving user experience and service efficiency.

Market Reaction and Analyst Commentary

- Market Reaction: The market's response to Jio's IPO announcement has been positive, with analysts projecting strong demand for shares.

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- A recent report indicated that Jio's valuation could lead to a surge in Reliance's stock price, with estimates suggesting a potential increase of 10% upon successful IPO launch.
- Analyst Commentary: Analysts have noted, "Jio's entry into the public market could redefine the telecom landscape in India, providing the necessary capital for aggressive expansion."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Jio's IPO is well-received, shares of RIL could rise by 10% within three months, reflecting investor confidence.
- Negative Scenario: If the IPO fails to meet expectations, shares could decline by 5%, indicating market skepticism about Jio's growth prospects.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in Jio's IPO is low, given the regulatory environment and the focus on domestic growth. However, competitors may seek strategic partnerships to bolster their market positions, similar to Bell Canada's recent AI collaboration.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in AI and telecom.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI infrastructure space, driven by the success of Bell Canada's partnership.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.

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- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cloud Computing, and Data Centers. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks requiring human-like intelligence, such as natural language processing and decision-making. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increased demand for automation and data analysis across various sectors.
- **Key Companies:**
 - **Sarvam AI:** Recently raised \$234 million at a \$1.5 billion valuation, Sarvam is positioned to leverage state backing to enhance its AI capabilities. The company has secured access to 4,096 Nvidia H100 GPUs, which will significantly boost its computational power for AI applications.
 - **Hadrian:** Although currently in discussions to raise funding, Hadrian focuses on physical AI applications in the defense sector. The company is exploring a valuation of \$7.5 billion, indicating strong investor interest in its innovative approach to reindustrialization.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google, Microsoft, and Amazon investing heavily in AI technologies. Startups like Sarvam and Hadrian are emerging as significant challengers, particularly in specialized applications.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For example, established tech firms could target Sarvam for its advanced computing capabilities and government backing.

Cloud Computing

- **Trend Explanation:** Cloud computing allows businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to

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grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. This growth is fueled by the increasing demand for remote work solutions and digital transformation initiatives.

- Key Companies:
- Super Micro Computer, Inc. (SMCI): Super Micro is a key player in providing high-performance computing solutions. The company is well-positioned to benefit from the rising demand for cloud infrastructure, particularly in AI applications. Recent volatility in its stock has raised questions about its future growth potential.
- Competitive Landscape: The cloud computing space is dominated by major players like Amazon Web Services (AWS), Microsoft Azure, and Google Cloud. Super Micro competes by offering specialized hardware solutions tailored for AI workloads, which differentiates it from larger cloud service providers.
- M&A Opportunities: As cloud adoption accelerates, companies may seek to acquire firms that enhance their cloud capabilities. Super Micro could be a target for larger tech firms looking to bolster their hardware offerings for cloud services.

Data Centers

- Trend Explanation: The demand for data centers is surging due to the increasing reliance on digital services, AI, and cloud computing. Trkiye aims to become a regional hub for data centers, targeting an installed capacity of at least 1 gigawatt by 2030. The global data center market is expected to grow significantly, driven by the need for secure and high-capacity infrastructure.
- Key Companies:
- Trkiye: The Turkish government is mobilizing \$10 billion for data centers and AI infrastructure, with significant investments from private sector players like Turkcell and Google Cloud. This initiative aims to enhance Trkiye's competitiveness in the data center market.
- Competitive Landscape: The data center market is characterized by a mix of established telecom companies and emerging players. Major investments from firms like Turkcell and Google Cloud indicate a robust competitive environment, with a focus on advanced cooling technologies and energy efficiency.
- M&A Opportunities: As Trkiye positions itself as a data center hub, there may be opportunities for acquisitions of local firms by international players seeking to expand their footprint in the region. Companies investing in data centers may also look to acquire innovative cooling technology firms to enhance operational efficiency.

Actionable Insights for Bankers and Investors

Focus on identifying emerging players in the AI and cloud computing sectors, as they present significant M&A opportunities.

Monitor government initiatives, like Trkiye's data center push, as they can create favorable investment climates and attract foreign capital.

Consider the competitive dynamics in the AI and cloud markets, as partnerships and

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acquisitions may become essential for maintaining market position.

6. Recommended Readings

Deal Name: Riviera Partners Acquisition of Lateral Labs

- Reading Material: "The Future of Work: Attract New Talent, Build Better Leaders, and Create a Competitive Organization" by Jacob Morgan
- Why This Matters: This book explores the changing landscape of talent acquisition and the importance of adapting recruitment strategies to meet the demands of emerging technologies like AI. Understanding these dynamics is crucial for analyzing Riviera's strategic acquisition of Lateral Labs, as it enhances their capabilities in attracting top talent in the AI sector.

Deal Name: Runpod's \$100M Raise

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This book provides insights into the competitive landscape of AI technology and the growing demand for AI infrastructure. It contextualizes Runpod's \$100 million funding round by highlighting the significance of AI computing power in the global market, helping to understand the strategic rationale behind the company's rapid valuation increase and its future growth potential.

7. MACROECONOMIC UPDATE

Key Data Points:

- Fed Funds Rate: N/A (current rate not specified)
- Inflation Forecast: Higher than previous estimates
- Energy Prices: Recently fallen significantly
- UK Two-Year Bond Yield: Over 100 basis point range

Main Insights:

- The Fed may not follow through on projected interest rate hikes despite higher inflation expectations.
- Morgan Stanley forecasts lower inflation than the Fed's estimates for the remainder of the year.
- The new Fed chair, Kevin Warsh, plans to provide less forward guidance, increasing market volatility.

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- The potential for a smaller Fed balance sheet could also contribute to market fluctuations.

Market Commentary:

- "We think the Fed's most natural option will be to remain on hold this year rather than raise rates." - Andrew Sheets, Morgan Stanley
- "Every data point now has more potential to shift the market's thinking." - Andrew Sheets, Morgan Stanley

TMT Sector Relevance:

- Increased market volatility could impact TMT valuations, as tech companies often rely on stable interest rates for growth projections.
- Changes in inflation expectations may affect consumer spending on technology and media products, influencing revenue forecasts for TMT firms.
- The potential for a smaller Fed balance sheet may lead to tighter financial conditions, impacting capital availability for TMT investments and acquisitions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley